

**Before the
FEDERAL MARITIME COMMISSION**

Docket No. 26-08

EALYTEX GLOBAL INC.

v.

COSCO SHIPPING LINES CO., LTD.

**RESPONDENT'S REPLY IN SUPPORT OF ITS
MOTION FOR PARTIAL SUMMARY JUDGMENT**

Respondent COSCO Shipping Lines Co., Ltd. (“Respondent” or “COSCO”) files this Reply in support of its Motion for Partial Summary Judgment (“Motion”) against Complainant Ealytex Global Inc. (“Complainant” or “EGI”).

INTERVENING DEVELOPMENTS

As demonstrated in the Motion, the proper complainants in this proceeding would be the direct purchasers – that is, the truckers/intermediaries that paid the charges to COSCO. Indeed, EGI itself identified long ago that refunds should go to those entities that paid the charges directly to COSCO, when it accepted FMC Senior Investigator Clausen’s statement regarding “the credits due *the truckers*.”

COSCO is currently in the process of refunding/crediting the amounts here claimed by EGI for each of the 17 containers to the truckers that paid the charges. It has internally waived/written

off those charges, which allows for refunds and/or credits to the entity that paid. Such refunds or credits will be issued shortly.¹

Once fully implemented, the refunds/credits to the truckers will render this proceeding moot: the amounts EGI seeks will have been returned to the truckers that paid them, so there will be nothing for the FMC to award without violating the rule against double damages. Any further redistribution from the truckers to EGI will be a matter solely between these parties.

Accordingly, Respondent respectfully suggests that the Presiding Officer defer ruling on the Motion until Respondent files documentation confirming that the refunds/credits have been implemented, at which point the Complaint can be dismissed as moot.

If the Presiding Officer follows this proposed course, the Presiding Officer will not need to read any further in this Reply. Just in case, however, we include the below reply on the merits.

INTRODUCTION

Respondent demonstrated in the Motion that EGI lacks standing to recover reparations because it is not a direct purchaser: COSCO never invoiced EGI, and EGI never paid COSCO anything. Remarkably, EGI's Response disputes neither fact – it argues only that payments made by its truckers should be attributed to EGI as a matter of agency. EGI's own evidence defeats that theory. The invoices annexed to the Declaration of Luna Zhang (“Zhang Decl.”) as Exhibit J show that every disputed charge was invoiced by COSCO to, and paid to COSCO by motor carriers Golden State Drayage Company (“Golden State”) and Never Ending Express, Inc. (“NEEI”) (or its affiliate Columbia Container Lines USA (“Columbia Container”)). Those first purchasers then

¹ One administrative step remains as to the amounts paid on NEEI's behalf: before releasing those funds, COSCO must confirm with Columbia Container – the NEEI affiliate that actually remitted payment on NEEI's behalf – that the refund may be directed to NEEI rather than to Columbia Container. COSCO has contacted Columbia Container and is awaiting its response.

sent invoices to EGI as, in EGI's own words, “a pass-through.” Response at 6. A party that reimburses an intermediary that paid the carrier is the textbook indirect purchaser, and the Commission's precedent – discussed at length in the Motion and largely ignored in the Response – forecloses Complainant’s recovery of reparations.

Unable to escape its own exhibits, EGI takes three tacks. First, it transforms a 2023 case-closing letter from a Commission investigator into an “FMC-supervised settlement agreement” that COSCO supposedly breached, and asks the Presiding Officer to enforce it. Second, it argues that COSCO waived the direct purchaser rule, or should be equitably estopped from invoking it, because COSCO did not litigate standing during the informal charge complaint process. Third, it seeks, in the alternative, leave to amend and an award of attorneys' fees. Each argument fails. We address them in turn.

ARGUMENT

I. EGI Lacks Standing to Recover Reparations for Charges It Never Paid to COSCO

1. EGI's Own Exhibits Confirm That It Is Not a Direct Purchaser.

As demonstrated in the Motion, only the party that actually paid the carrier or that party's assignee may recover reparations for an alleged overcharge. EGI does not – because it cannot – identify a single invoice issued by COSCO to EGI or a single payment made by EGI to COSCO. Instead, EGI submits the invoices its intermediaries issued to *EGI*. Zhang Decl. Ex. J. Those documents indicate, at most, that the intermediaries, not EGI, paid COSCO. And they do not even show that EGI actually paid those intermediaries. Thus, the documents demonstrate beyond

peradventure that EGI was not a direct purchaser.² Such invoices are totally unavailing to allow an indirect purchaser – here EGI -- to seek reparations for injury suffered by the direct-purchaser intermediaries without a formal assignment from the intermediaries.

Under the FMC's longstanding precedent, addressed in the Motion, EGI's own characterization of the charge as a "pass-through" is fatal to EGI's standing. Reimbursing the party that paid the carrier does not make the reimbursing party a direct purchaser; if it did, the direct purchaser rule would have no content, because virtually every indirect purchaser ultimately bears passed-on charges. That is the express teaching of the authorities discussed in the Motion, including *Illinois Brick Co. v. Illinois*, 431 U.S. 720 (1977), and the Commission decisions applying it.³ EGI's contrary theory rests entirely on the Zhang Declaration's conclusory assertion that the invoices "demonstrate" an agency relationship. Zhang Decl. ¶ 12. A conclusory characterization contradicted by the very documents it cites does not create a genuine issue of material fact. Notably, EGI's own statement of account from Columbia Container as of July 30, 2024 shows \$16,643.00 outstanding and more than ninety days past due,— meaning EGI did not

² COSCO's detention (per diem) invoices are addressed to Golden State and to NEEI, in their own names, on thirty-day payment terms. The Golden State and Columbia Container invoices then re-bill EGI for the COSCO per diem charges (e.g., "COSCO PER DIEM CHARGE"), passing along the amounts COSCO invoiced to the truckers – including the discounts COSCO extended to the truckers on those invoices ("DISCOUNT APPLIED"; "COSCO DISCOUNTED 50% TO THE ORIGINAL INVOICE"). *Id.* That COSCO negotiated and extended those discounts to Golden State and NEEI – not to EGI – confirms where the billing relationship ran. And an agent disbursing its principal's funds does not re-invoice the principal on its own invoice forms and its own credit terms. That is the commercial conduct of an intermediary passing charges down a chain – which is precisely how EGI itself describes the arrangement: its "freight forwarders are simply issued the charges and pass them along to EGI." Response at 4.

³ E.g., *Gov't of Guam v. Sea-Land Service, Inc.*, 29 S.R.R. 894, 902 (ALJ March 27, 2002, admin. final May 22, 2002) (uniformly rejecting reparations claims premised on the theory that the direct payor passed the carrier's charges on to the claimant); *Sanrio, Inc. v. Maersk Line*, 19 S.R.R. 907 (ALJ Sept. 28, 1979) (consignee could not recover overcharges paid by the shipper in the absence of an assignment); *In re: Vehicle Carrier Services*, 2019 WL 5558120, at *5 (FMC Oct. 21, 2019).

even fully reimburse its own intermediary – which is difficult to square with the Response's assertion that “EGI in fact paid the Charges.” Response at 4; Zhang Decl. Ex. J.

EGI's cited authority is not to the contrary.⁴ And the chain of intermediaries here is longer than EGI acknowledges: several of COSCO's own invoices identify still other parties – Translink Shipping, Inc. and Masterpiece International Limited – in the “Party” field for containers at issue. Zhang Decl. Ex. J. Whatever the precise commercial arrangements among EGI, its forwarders, its truckers, and those entities, none of them involved an invoice from COSCO to EGI or a payment from EGI to COSCO.

As discussed in detail in Section 4, allowing EGI to exercise the rights of truckers here would violate one of the principal justifications for the direct purchaser rule – avoiding the potential for multiple or conflicting liability determinations. *Illinois Brick*, 431 U.S. at 730–31 (allowing indirect purchasers to recover would “create a serious risk of multiple liability for defendants”). Here, as stated above, the truckers, as direct purchasers, appear to have potential claims against COSCO. Thus, if EGI is allowed to pursue reparations without a formal assignment from the truckers, any decision in this proceeding would not bar the non-party truckers from filing their own complaints, meaning that COSCO could be held liable for the same amount twice – once to EGI and once to the truckers. That is impermissible.

In fact, COSCO is already in the process of making refunds/credits that EGI claims for itself to the truckers that actually paid the disputed charges. COSCO has internally waived all of

⁴ EGI cites *Mediterranean Shipping Company*, Docket No. CC-001, but that order arose under the charge complaint procedures of 46 U.S.C. § 41310 – the same statutory process invoked in the 2023 charge complaint here. Charge complaints by definition seek refund or waiver of the disputed charge and *civil penalties*, not *reparations* for actual injury, as is required in a formal complaint proceeding seeking reparations under 46 U.S.C. §§ 41301 and 41305(b), which requires proof that the complainant itself suffered actual injury from payments made to the carrier.

the charges covered by the Complaint and refunds/credits should be issued soon. Thus, any EGI remedy needs to be pursued against the direct purchaser intermediaries that EGI claims to, but may not, have paid.

2. There Was No “FMC Agreement” – and the Commission Would Lack Authority to Enforce One in Any Event.

EGI's breach theory rests entirely on the October 30, 2023 letter from Senior Investigator John D. Clausen closing charge complaint 20230189. Zhang Decl. Ex. B. That letter is not a settlement agreement. It reports that “COSCO informed the Commission of its decision to delete; refund; waive and/or make adjustments to invoices” relating to specified containers, that EGI's counsel “confirm[ed] accepting the resolution offered by COSCO,” and that “this case is now closed.” *Id.* A unilateral decision to “delete; refund; waive and/or make adjustments” – stated in the disjunctive – as reported in an investigator's case-closing letter, contains no definite, enforceable terms. It does not state which invoices would be deleted rather than refunded, which would be waived rather than adjusted, to whom any refund would be paid, or by when. It certainly does not obligate COSCO to pay \$91,545.00 to EGI, an entity that, as EGI's own exhibits confirm, never paid COSCO anything. And as noted above, COSCO is already in the process of refunding/crediting the challenged amounts to the direct purchasers.⁵

Even if the correspondence could be read as a contract, EGI identifies no provision of the Shipping Act – and there is none – granting the Commission authority to adjudicate breach-of-contract claims or to specifically enforce private settlement agreements. The Commission's

⁵ COSCO expects to complete the refund of the amounts paid on NEEI's behalf imminently. Because Columbia Container remitted the payment on NEEI's behalf, COSCO is awaiting confirmation from Columbia Container that the funds may properly be directed to NEEI. That precaution – necessary to avoid paying the wrong intermediary in the chain – itself illustrates the tracing problem addressed in Section 4, below.

adjudicatory jurisdiction extends to violations of the Shipping Act. 46 U.S.C. § 41301(a) (a person may file a complaint “alleging a violation of this part”), not to breach of contract claims. Indeed, as the Presiding Officer recently explained, common law claims “are not properly before the Commission.” *Kanu v. Ejike Dickson Eze DBA Ejike International Trade Limited*, Docket No. 25-05, Second Order Requiring Complainant to File Motion for Leave to Amend and Proposed Amended Complaint at 4 n.3 (ALJ June 9, 2025) (“*Kanu*”). A claim that COSCO breached a settlement contract belongs, if anywhere, in a court of competent jurisdiction, not before the Commission. Nor can the parties confer authority on the Commission that Congress withheld, whether by stipulation, waiver, or estoppel. *See Insurance Corp. v. Compagnie des Bauxites*, 456 U.S. 694, 702 (1982); *Vinmar, Inc. v. China Ocean Shipping Co.*, 1992 WL 231349 at *5 (Dismissal of Complaint, January 16, 1992).

3. COSCO Did Not Waive, and Is Not Estopped from Raising, the Direct Purchaser Rule.

EGI's waiver and estoppel arguments fail for the same reason. As an initial matter, the FMC does not recognize the doctrine of equitable estoppel. *See, e.g., Western Overseas Trade And Development Corp. v. ANERA*, Dkt. 92-06; 1993 WL 330934 at *12 (ALJ Motion To Dismiss Amended Complaints Granted, August 16, 1993) (“the doctrine of equitable estoppel has no application in Commission proceedings”) and cases cited therein.

Furthermore, the direct purchaser rule is a limitation on who may recover reparations under 46 U.S.C. § 41305(b) – a component of the actual injury the statute requires. A respondent cannot waive, and cannot be estopped from raising, limits on the Commission's statutory authority to award relief. *See* authorities cited *supra* Section 2. In any event, there was nothing to waive. The charge complaint at issue was resolved through an informal, investigator-facilitated process under

46 U.S.C. § 41310, not an adjudication. COSCO's decision to resolve that process commercially, rather than to brief standing defenses to an investigator where nothing was being adjudicated, waives nothing in a formal complaint proceeding commenced nearly three years later.

Nor do the equities support estoppel. The correspondence EGI compiles shows COSCO personnel truthfully reporting that waivers and refunds were being processed – and they were: the charges associated with all 17 containers have been waived internally, which clears them for refund/credit, expected to occur promptly. That same correspondence confirms who the paying parties were. Investigator Clausen wrote of “the credits due *the truckers*” and asked counsel to confirm that the waivers and deletions had been received. Zhang Decl. Ex. A (emphasis added). Nothing in the correspondence represents that COSCO would pay \$91,545.00 to EGI itself, and EGI cannot have detrimentally relied on a representation that was never made. Finally, OSRA's remedial purposes do not relax the actual-injury requirement. A statutory scheme designed to ensure that wrongly assessed charges are refunded to those who paid them is not advanced by awarding reparations to a party that paid the carrier nothing, especially where the award would leave COSCO subject to complaints for the same amounts from the actual direct purchasers.

4. The Risk of Duplicative Recovery Is Concrete, Not Hypothetical.

EGI asserts that “there is no risk of duplicative recovery” because “there are only two parties.” Response at 4. Its own exhibits refute the premise. Between EGI and COSCO stand, at a minimum, Golden State; NEEI; Columbia Container – which EGI itself pairs with NEEI as “Columbia Container Lines USA c/o Never Ending Express, Inc.,” Zhang Decl. ¶ 3, and which remitted payment on NEEI's behalf – and the entities identified in the “Party” field of several of COSCO's own invoices, Translink Shipping, Inc. and Masterpiece International Limited. Zhang

Decl. Ex. J. Each link in that chain was billed, paid, or passed the charges along prior to EGI, and each holds at least a colorable claim to any refund of them.

The pending NEEI refund makes the point concretely. Before releasing funds, COSCO must confirm with Columbia Container – the entity that actually remitted payment on NEEI's behalf – that the refund may be directed to NEEI rather than to Columbia Container. One charge; two intermediaries; two potential claimants. If, on top of that, COSCO could be ordered to pay the same \$91,545.00 to EGI as reparations, COSCO would pay the same charges twice – once to the parties that actually paid them and once to a party that did not. This proceeding, in which EGI demands sums it never paid to COSCO while the paying parties' refunds are in process, is itself the demonstration that the risk of duplicative recovery is real. Tracing and apportioning a passed-on charge among a shipper, its forwarders, and its truckers is precisely the multiple-recovery hazard that produced the direct purchaser rule. *Illinois Brick*, 431 U.S. 720.

5. EGI's Alternative Requests for Leave to Amend and for Attorneys' Fees Should Be Denied.

EGI's alternative request – made in a fallback paragraph of an opposition brief rather than by motion – for leave to amend to join its truckers as co-complainants, to “obtain an assignment,” or to add claims for “bad-faith and potentially fraudulent post-settlement” conduct should be denied. Amendments to pleadings are permitted or rejected in the discretion of the Presiding Officer, 46 C.F.R. § 502.66(a), and leave is properly sought by motion, accompanied by the proposed amended complaint, so that the Presiding Officer and Respondent can assess what is actually proposed. *See* 46 C.F.R. § 502.69(a); *see, e.g., Kanu, supra*, at 1, 6 (requiring complainant to “file a Motion for Leave to Amend the Complaint, together with a Proposed Amended Complaint”). A contingent request in an opposition brief – proposing three different amendments in the alternative, none of them presented – satisfies neither requirement.

Amendment would in any event be futile. The charges on all 17 containers at issue have been waived, clearing them for refund/credit to the paying parties, so EGI's complaint, which it admits is on behalf of the intermediaries, will be rendered moot.

EGI's request for attorneys' fees is of course premature, as well as frivolous. Requests for attorney's fees must, as a matter of law, be filed only after a decision becomes final. 46 C.F.R. § 502.254(c)(1) ("In order to recover attorney fees, the prevailing party must file a petition within 30 days after a decision becomes final."); *see, e.g., Phillip Marciano LLC v. US Cargo Services Inc.*, Docket No. 25-11, Initial Decision Granting Motion to Dismiss at 15 (Chief ALJ Dec. 16, 2025) ("any request for attorney's fees would be premature at this point and denied"). Furthermore, by no stretch of anyone's imagination can a dispositive motion grounded in decades of Commission precedent – a motion that EGI's own exhibits substantiate – be deemed sufficiently frivolous to warrant an award of attorney's fees.⁶

⁶ EGI rests its claim for attorney's fees on *Edaf Antillas, Inc. v. Crowley Caribbean Logistics, Inc.*, in which Crowley, represented by one of Respondent's counsel here (Mr. Jeffrey), was awarded attorney's fees. As EGI's own Response acknowledges, that case was a far cry from the instant matter. There, at an advanced stage of the proceeding, after the respondents had spent considerable time and money, complainant simply disappeared and refused to respond to communications from both the respondents and the Commission.

CONCLUSION

As stated above, the Presiding Officer should defer ruling on the Motion until the refunds/credits are made and documented. If not, the Presiding Officer should, for the reasons stated in the Motion and this Reply, grant partial summary judgment and dismiss EGI's claims for reparations.

Dated: August 3, 2026

Respectfully submitted,

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CERTIFICATE OF SERVICE

I certify that on this 3rd day of August, 2026, a true and correct copy of the foregoing **Respondent's Reply in Support of Its Motion for Partial Summary Judgment** was served by electronic mail on all counsel of record in accordance with 46 C.F.R. Part 502 as follows:

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